D07 · Cross-Docking & Flow-Through

05 · Vendor compliance programs: SSCC, ASN & store-ready merchandise

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1 WHAT IT IS

Vendor compliance programs define the standards suppliers must meet so receipts can be processed efficiently — GS1 SSCC pallet labels, accurate advance ship notices, correct quantities, delivery windows and, in retail, store-ready merchandise — with measurement and chargebacks.

2 WHY IT MATTERS

Supplier non-compliance shows up as hidden warehouse cost: relabeling, manual counting, mixed pallets, inventory errors. **With a correct ASN and SSCC, a pallet can be received by a single scan; without them, every box is opened.** Standards from GS1 make this interoperable across trading partners **(GS1 — General Specifications)**.

3 HOW IT IS DONE

1. **Publish a clear supplier manual.** Labels, ASN content and timing, pallet build, delivery windows and penalties.
2. **Onboard and train before enforcing.** Give suppliers time and support to adapt systems and processes.
3. **Measure every receipt.** Compliance by supplier and by type of failure.
4. **Apply chargebacks and improvement plans.** Consistent consequences, and formal plans for repeat offenders.

IN PRACTICE

Implement chargebacks for non-compliance — without consequences, compliance doesn’t improve

Supplier non-compliance is rational if it has no consequences: correctly labeling pallets has a cost for the supplier. Chargebacks transfer that cost to the supplier when they don’t meet standards.

The vendor compliance program must start with communication and training — not just penalties

Suppliers that don’t meet standards often don’t know them well or don’t have the systems to meet them. The first step is communicating standards clearly and allowing adaptation time — penalties come after.

Integrate vendor compliance KPIs into the supplier scorecard of the procurement team

Vendor compliance is part of supplier performance — as important as OTIF and product quality. A supplier with 100% OTIF but 35% non-compliance is generating significant hidden costs in the warehouse.

Report non-compliance by supplier and type — aggregation hides problems

A 12% average non-compliance rate can hide that 3 suppliers have 85% of incidents. Segmentation by supplier and non-compliance type identifies actionable problems.

ILLUSTRATIVE CASE

Illustrative case built from typical industry values — not data from a specific company.

Illustrative case: Vendor compliance program — distributor with 180 active suppliers — Analysis of supplier non-compliance impact on DC operations.

Non-compliance type	Frequency (% of receipts)	Rework cost
Incorrect or missing box label (no SSCC or unreadable barcode)	22% of receipts	$0.85/box in labeling rework · $42K/month in the DC

Non-compliance type	Frequency (% of receipts)	Rework cost
ASN not sent or sent with incorrect data	38% of suppliers without ASN	4.2 additional hours of manual receiving per truck vs. 1.4 hours with ASN
Incorrect quantity on pallet (difference between document and physical)	8% of pallets	18 minutes of recount and adjustment per affected pallet · Inventory discrepancies

Result: Vendor compliance program implementation with chargebacks: $0.50/box for incorrect label, $120/truck without ASN, $25/pallet with incorrect quantity. In 6 months: label non-compliance: 22% -> 6%. ASN compliance: 62% -> 91%. DC rework: -$38K/month.

HOW IT IS MEASURED

Vendor ASN Compliance % (suppliers sending correct and timely ASN)

Vendor ASN Compliance %(Receipts with correct ASN sent before truck arrival / Total receipts for the period) × 100

Benchmark: >95% of suppliers sending correct, timely ASNs Without ASN, receiving is manual — the warehouse team opens each box to count the content. With high-quality ASN, scanning the pallet's SSCC automatically confirms the complete receipt.

Non-Compliance Chargeback Amount ($) per supplier

Non-Compliance Chargeback Amount ($) per supplierTotal chargebacks generated to the supplier for vendor compliance standard non-compliance

Benchmark: $0 as objective for each supplier · Suppliers with recurring chargebacks must have a formal improvement plan Chargebacks are the financial consequence of non-compliance that creates the right incentive for improvement. Without chargebacks, non-compliance has no consequences and DC rework continues indefinitely.

WHAT YOU WOULD USE

Vendor Compliance

SAP SD — SSCC + ASN Management — Module: EDI + SSCC Barcode + ASN ProcessingSAP S/4HANA manages the vendor compliance process: ASN receipt via EDI, SSCC verification when scanning the pallet, and automatic chargeback generation for non-compliance.

TrueCommerce / SPS Commerce — Module: EDI + Vendor Compliance PortalEDI platforms with vendor compliance portal. Suppliers can view their compliance standards, ASN status, and pending chargebacks.

4 SO WHAT

Set the standard, help suppliers meet it, then enforce it. Publish the manual, train, measure every receipt and use chargebacks to keep non-compliance from becoming your cost.

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